

The Good, the Bad, and the Ugly

With credit cards, you don't have to carry cash or your checkbook around with you. You can make purchases over the telephone or the Internet. You can reserve cars and hotel rooms, or have recurring expenses automatically billed to your card. You can buy things you need that you once would have had to wait years to obtain while you saved your money. You can also take advantage of a grace period that would allow you to pay for your purchases up to six weeks after the transaction without any interest and be eligible for all kinds of rewards from free air flights and vacations to cash back and discounts on merchandise. A credit card will allow you to establish credit so when it's time to buy a house or a new car you qualify for the mortgage or car loan.

But the same cards that provide great convenience may become the means by which you are enslaved to debt, as charges you make become grossly inflated by high interest rates. As your debt grows out of control, it may even outlast the purchases that created the debt in the first place.

The Appeal of Credit

The message of credit cards is one of instant gratification—you can have it all now. Credit cards can make it seem as if you're not spending real money. But once you get too deeply in debt it could take you years, or even decades, to get out. In the meantime, your real dreams will be on hold.